Why does the war drag on?

RUSSIA-UKRAINE WAR | Territory and post-ceasefire security are major disputes

What Russia prioritizes
Preventing Ukraine from joining NATO, opposing an expansion of Western military influence, securing regions it claims, and maintaining influence in neighboring areas.

At the start of the invasion, President Putin also claimed goals such as “demilitarization” and “denazification.” These are Russian government claims; Ukraine and Western countries do not accept them as grounds justifying the invasion.

Why ceasefire terms are hard to align
Russia wants gains in territory and security. Ukraine wants to avoid unilateral territorial loss and prevent another invasion.

The issue extends beyond territory to the aftermath
Besides where to draw the boundary, there are questions of monitoring a ceasefire and deterring renewed invasion. A mechanism acceptable to both sides is difficult to establish.

Japanese companies that could benefit

RUSSIA-UKRAINE WAR | Effects through increased defense spending or higher resource prices

Mitsubishi Heavy Industries: missiles, naval vessels and defense aircraft. Growing demand for defense equipment can support orders.

Kawasaki Heavy Industries: defense aircraft, submarines and missile-related products. Increased investment in defense systems can provide a tailwind.

IHI: defense aircraft engines and related equipment. Expansion of defense operations could support results.

Mitsubishi Electric: radar, electronic equipment and guided-missile-related products. Demand growth for defense electronics can provide a tailwind.

NEC: command and control, communications and information systems. Digitalization in defense can support demand.

INPEX: crude oil and natural gas. Rising oil and gas prices can boost profits.

A prolonged war does not necessarily raise defense spending or resource prices. Actual earnings effects vary with order profitability, exchange rates and market conditions.

Japanese companies and sectors facing possible headwinds

RUSSIA-UKRAINE WAR | Higher fuel and material costs or a weaker European economy

ANA Holdings and JAL
Higher oil prices can increase aviation fuel costs. Fares and fuel surcharges may absorb part of the impact.

Land transport and logistics companies
Higher diesel and gasoline prices increase costs. The impact varies with the ability to pass costs into freight rates.

Chemical and materials companies
Higher naphtha, electricity and gas prices tend to pressure profits.

Manufacturers with a high share of European sales
Automotive and machinery companies may face indirect effects from a weaker European economy or expensive energy.

Shipping is not affected in only one direction
Higher fuel prices raise costs, but freight rates, surcharges and contract terms may permit pass-through. Route changes can alter distances and rates; check each business and contract.

Effects on companies are not determined by the war's continuation alone. Outcomes depend on pricing power, business mix and changes in market conditions.